

Law No. 91 of 2005

In the name of the
people, the President of the

Republic, having reviewed the decision of the People's Assembly, hereby promulgates the following law:

**(Article 1) The
provisions of the accompanying law shall apply to income tax.**

(Article Two)

The Income Tax Law issued by Law No. 157 of 1981 is hereby repealed.

However, the appeals committees formed in accordance with the provisions of the
aforementioned Income Tax Law shall continue to consider tax disputes related to
the years up to and including the end of 2004 until December 31, 2005. Disputes
that remain unresolved thereafter shall be referred to the committees formed in
accordance with

the provisions of the accompanying law. The exemptions specified for the
periods in the aforementioned law shall remain in effect for persons whose
exemption periods began before the
effective date of this law, until those periods expire. Paragraph 1 of Article 1

of Law No. 147 of 1984 imposing a fee for developing state fina

(Article Three)

Articles 16, 17, 18, 19, 21, 22, 23 bis, 24, 25, and 26 of the Investment
Guarantees and Incentives Law issued by Law No. 8 of 1997 are hereby repealed.

The exemptions
stipulated in the aforementioned articles shall remain in effect for companies
and establishments whose exemption periods commenced before the effective
date of this Law, until the expiry of the periods specified for these
exemptions. However, companies and establishments established in
accordance with the provisions of the aforementioned Law that have not yet
commenced their activities or production by the effective date of this Law shall, in

order to benefit from the exemptions stipulated therein, commence their activities or product



(Article Four)

Every person is exempt from paying all amounts of tax due on their income and all amounts of general sales tax for tax periods prior to the effective date of this law, as well as any related late payment penalties, fines, additional taxes, and other charges, subject to the following two

conditions: First: The person must not have previously registered or submitted a tax return, nor been subject to any form of tax audit by the

General Tax Authority or the Sales

Tax Authority. Second: The taxpayer must submit their tax return for their income for the last tax period, including all relevant data, and register with the Sales Tax Authority if they have reached the registration threshold, within one

year of the effective date of this law. The exemption shall lapse if

the taxpayer fails to regularly submit their tax returns f

(Article Five) All

pending or registered lawsuits before all courts, at all levels, between the Tax Authority and taxpayers, concerning disputes over tax assessments, shall be dismissed if the annual tax base in dispute does not exceed ten thousand pounds. Claims for unpaid taxes related to these lawsuits shall be waived.

In all cases, the termination of the litigation does not entitle the taxpayer to a refund of any payments previously made on account of the tax due

on the disputed tax base, unless the taxpayer insists on the continuation of the litigation by submitting a request to the court hearing

the case within six months of the

(Article Six) In

cases other than those stipulated in Article Five of this Law,

taxpayers in disputes between them and the Tax Authority shall have the right to



Taxes that are pending or subject to litigation in courts of all levels before October 1, 2004, may be settled within one year from the effective date of this law, in exchange for payment of a percentage of the tax and other amounts due on the disputed annual tax base, according to the following brackets: 1- (10%) of the tax and other amounts due on the disputed base if its value does not exceed one hundred thousand Egyptian pounds. 2- (25%) of the tax and other amounts due on the disputed base for the amount exceeding one hundred thousand Egyptian pounds up to five hundred thousand Egyptian pounds of this base, after payment of the percentage stipulated in clause 1 for the amount not exceeding one hundred thousand Egyptian pounds of this base. 3- (40%) of the tax and other amounts due on the disputed base for the amount exceeding five hundred thousand Egyptian pounds of this base, after payment of the percentages stipulated in

clauses 1 and 2 for the amount not exceeding five hundred thousand Egyptian pounds. If the taxpayer fulfills the prescribed percentages according to the previous clauses, he shall be absolved of the tax amount and other disputed sums, and the lawsuit shall be dismissed if the taxpayer submits to the court proof of such payment. In all cases, the termination of the dispute does not give rise to any right for the financier in Refund of what he previously paid as an advance on the disputed tax.

(Article Seven)

Notwithstanding the provisions of paragraph 1 of Article 52 of the accompanying law, interest on loans and advances obtained by legal entities shall be deductible if it exceeds four times their average equity but does not exceed eight times it, for the period commencing the 2005 tax year and ending the 2009 tax year, according to the following schedule: 1:8 for the 2005 tax year, 1:7 for the 2006 tax year, 1:6 for the 2007 tax year, 1:5 for the 2008 tax year, and 1:4 for the 2009 tax year.



(Article Eight) The Minister of Finance shall issue the executive regulations for this law and the accompanying law within six months from the date of publication in the Official Gazette. Until these regulations are issued, the regulations and decisions currently in force shall continue to be applied insofar as they do not conflict with the provision

(Article Nine) This law shall be published in the Official Gazette and shall come into effect on the following day. Subject to the following: 1- The provisions of the accompanying law shall apply to salaries and related payments starting from the first day of the month following its publication in the Official Gazette. 2- The provisions of the accompanying law shall apply to income from commercial and industrial activities, income from non-commercial professions, and income from real estate for natural persons starting from the 2005 tax year, and to the profits of legal entities starting from the 2005 tax year or the tax year of the legal entity commencing after the effective date of this law. This law shall be stamped with the State Seal and implemented as one of its laws.

This law was published in the Official Gazette, Issue No. (23), Supplement, on June 9, 2005.

Income Tax Law No. 91 of 2005

Book One:

General

Provisions. Article (1): For the purposes of this Law, the following terms and expressions shall have the meanings assigned to them below: - Tax:

Income tax. - Minister: The Minister of Finance. -

Head of the Authority: The Head of the

General Tax Authority. - Authority: The General Tax Authority. - Taxpayer: A natural or legal

person subject to tax in accordance with the provisions of this Law. - Capital Companies: Joint-stock companies,

limited partnerships, and limited liability companies. - Partnerships:

General partnerships and limited partnerships. - De facto partnership: A partnership established between natural persons without fulfilling the

procedures for formation or registration, except in cases arising from the inheritance of a sole proprietorship. - Project: An economic entity that conducts its principal activity in Egypt or a permanent establishment in Egypt belonging to an economic entity abroad. - Related

Person: Any person related to a taxpayer in a way that affects the

determination of the tax base, including: -1. Spouse, ascendants, and descendants. -2. A capital company and any person who directly or indirectly owns at least 50% of the number or value of shares or voting rights therein. 3. Partnerships of

persons, general partners, and limited partners. 4. Any two or more partnerships in which and



Related or more, and is determined according to market forces and transaction conditions. - Royalties: Amounts paid of any kind in consideration of the use of or the right to use copyright of a literary, artistic or scientific work, including films, and any patent, trademark, design, model, plan, formula or secret process, or in consideration of the use of or the right to use industrial, commercial or scientific equipment or information relating to industrial, commercial or scientific equipment.

Article (2)

For the purposes of this Law, a natural person shall be considered a resident of Egypt in any of the following cases: 1- If they have a permanent domicile in Egypt. 2- If they reside in Egypt for a period exceeding 183 consecutive or non-consecutive days within any twelve-month period. 3- An Egyptian citizen who performs their official duties abroad and receives their income from the Egyptian treasury. A legal entity shall be considered a resident of Egypt in any of the following cases: 1- If it was established in accordance with Egyptian law. 2- If its principal or actual place of management is in Egypt. 3- If it is a company in which the State or one of the public legal entities owns more than 50% of its capital. The Executive Regulations of this Law shall determine the details.

Article

(3) Income derived from a source in Egypt includes the following: (a) Income from services performed in Egypt, including salaries and related payments. (b) Income paid by an employer resident in Egypt, even if the work is performed abroad. (c) Income earned by an athlete or artist from activities performed in Egypt. (d) Income from work performed by a non-resident through a permanent establishment in Egypt.



(e) Income from the disposal of movable property belonging to a permanent establishment in Egypt. (f) Income from the exploitation and disposal of real estate and similar properties located in Egypt, and any real estate appurtenant thereto. (g) Distributions to shareholders of capital companies resident in Egypt. (h) Dividends paid by companies of persons resident in Egypt. (i) Returns paid by the Government, local administrative units, public legal entities, or any person resident in Egypt, and returns paid by a permanent establishment in Egypt, even if its owner is not a resident therein. (j) Rent, license fees, and royalties paid by a person resident in Egypt or paid

by a permanent establishment in Egypt, even if its owner is not a resident therein. (k) Income from any other activity carried out in Egypt. Article (4) For the purposes of this Law, a permanent establishment means any fixed place of business from which all or part of the business activities of a non-resident person are carried out, and includes in

particular: (a) The place of management. (b) The branch. (c) The building used as a sales outlet. (d) The office. (e) The factory. (f) The workshop. (g) The

mine, oil field, gas well, quarry, or any other place for the extraction of natural resources, including timber or any other forest product. (h) The farm or

A person working for a subsidiary is considered a permanent establishment if they have the authority to enter into and approve contracts on behalf of the subsidiary, unless their activities are limited to purchasing goods or merchandise for the

subsidiary. The following are not considered permanent establishments



1. Utilizing special facilities for the sole purpose of storing and displaying goods and merchandise belonging to the project. 2. Maintaining an inventory of goods or merchandise belonging to the project for storage or display purposes. 3. Maintaining an inventory of goods and merchandise belonging to the project solely for the purpose of reprocessing by another project. 4. Maintaining a fixed location for an activity solely engaged in purchasing goods or merchandise or gathering information for the project. 5. Maintaining a fixed location for an activity solely engaged in any work of a preliminary or auxiliary nature for the project. 6. Maintaining a fixed place of business where any combination of the activities mentioned in the preceding clauses is carried out, provided that the total activity of the fixed place of business and the resulting combination of these activities is solely of a preliminary or auxiliary nature. 7. Industrial or commercial activities carried out by a foreign company through a broker, general agent on commission, or any other agent of an independent nature, unless it is proven that this broker

The control of a resident company by a non-resident company does not mean that the resident company becomes a permanent establishment of the other. Article (5) The tax period is the fiscal year that begins on January 1st and ends on December 31st of each year, or any period of twelve months that serves as the basis for calculating the tax. The tax may be calculated for a period of less than or more than two years. The executive regulations of this law specify the accounting procedures for this period. The tax is due on the day following the end of the tax period, or it is due upon the

- death of the taxpayer, or upon the termination of his residence, or his automatic cessation of activity.



Book Two:

Tax on the Income of Natural Persons,

Chapter

One: Scope and Rate of Tax,

Article

(6): An annual tax is imposed on the total net income of natural persons.

**Residents and non-residents with respect to their income earned
in Egypt. Total net income consists of the following**

**sources: 1. Salaries and
related payments. 2. Commercial or
industrial activity. 3. Professional or
non-commercial activity. 4. Real estate**

Article (7)

**Tax is due on any amount exceeding five thousand Egyptian pounds of the
total net income earned by a resident taxpayer
during**

**the year. Article (8) The tax rates shall be
as follows: First bracket: More than 5,000 Egyptian pounds up to 20,000
Egyptian pounds: 10% Second bracket: More than 20,000 Egyptian pounds
up to 40,000 Egyptian pounds: 15% Third**

**bracket: More than 40,000 Egyptian pounds: 20% The total net annual income
shall be rounded down to the nearest**

Chapter

**Two: Salaries and Related
Payments.**

Article (9): Tax shall apply to salaries and related payments as follows:

**-1 All payments due to the taxpayer as a result of his work for others, whether
under contract or without a contract, on a regular or non-regular basis, regardless
of the names, forms, or reasons for these payments, and whether they are for work
performed in Egypt or abroad and paid for from a source in Egypt, including wages,
bonuses, incentives, commissions, grants, overtime pay, allowances, shares, and quotas in**



Profits and monetary and in-kind benefits of all kinds. -2. What is due to the taxpayer from a foreign source for work performed in Egypt. -3. Salaries and bonuses of chairpersons and members of boards of directors in public sector and public business sector companies who are not shareholders. -4. Salaries and bonuses of chairpersons, members of boards of directors, and managers in capital companies for their administrative work. The executive regulations of this law shall specify the basis for assessing the value of in-kind benefits. Article (10) The income included in the tax base for each part of the year in which any taxable income was received shall be determined proportionally to its duration as a whole year, based on the monthly income after converting it to annual income. In the event of a change in taxable income, the calculation of that income shall be adjusted from the date of the change based on either the new income or the old income, whichever is lower, after conversion to annual income. A settlement shall be made annually in accordance with the procedures and rules specified in the executive regulations of this law. The frozen salaries, wages, and similar payments that are disbursed in one lump sum in a given year are distributed over the years of entitlement, excluding vacation pay. The income included in the tax base for each year is recalculated, and the tax due is settled on this basis.

Article (11)

Notwithstanding the provisions of Article 8 of this Law, the tax shall apply to all amounts paid to non-residents, regardless of the entity or body that employs them to perform services under its supervision. The tax shall also apply to amounts received by residents from entities other than their original places of employment, at a rate of 10% without any reduction to cover costs and without making any other deduction. In all cases, the tax shall be withheld and remitted to the competent tax authority within the first fifteen days of each month, in accordance with the rules and procedures specified in the executive regulations of this law. Article (12)

The following are exempt from tax: -1 Pensions. -2 End-of-service benefits.



Article (13)

Without prejudice to other tax exemptions stipulated in special laws, the following shall be exempt from tax: -1. A personal annual exemption of 4,000 Egyptian pounds for the taxpayer. -2. Social insurance contributions and other deductions made in accordance with the provisions of social insurance laws or any alternative systems. -3. Employee contributions to private insurance funds established in accordance with the provisions of the Private Insurance Funds Law issued by Law No. 54 of 1975. -4. Life and health insurance premiums paid by the taxpayer for his own benefit or the benefit of his spouse or minor children, and any insurance premiums for pension entitlement. -5. The following collective in-kind benefits: (a) The meal provided to employees. (b) Group transportation for employees or its equivalent cost. (c) Healthcare. (d) Tools and clothing necessary for performing the work. (e) Housing provided by the employer to employees in connection with their work. -6. The employees' share of profits distributed in accordance with the law. -7. What members of the diplomatic and consular corps, international organizations, and other foreign diplomatic representatives receive within the scope of their official duties, provided that the principle of reciprocity is applied and within the limits of such treatment. For items 3 and 4, the total amount exempted for the taxpayer shall not exceed 15% of net income or three thousand Egyptian pounds.

Article

(14) Business owners and those obligated to pay taxable revenues, including companies and projects established under the free zone system, must withhold from what they are obligated to pay of the amounts stipulated in Article 9 of this law an amount on account of the tax due, in accordance with what is determined by the executive regulations of this law. They must deliver to the competent tax authority, within the first fifteen days of each month, what wa



Business owners and those obligated to pay revenue must pay the tax differences due, without prejudice to their right to claim from the taxpayer what he owes.

Article (15)

The person responsible for withholding and remitting the tax, in accordance with Article 14 of this Law, shall be obligated to do the following: -1 Submit a quarterly declaration to the competent tax office in January, April, July, and October of each year, using the form prepared for this purpose. -2 Provide the worker, upon his request, with a statement indicating his full name, the amount and type of income, and

The executive regulations shall specify the rules and procedures for implementing the provisions of this article. Article (16) If the employer or the person obligated to pay the taxable income is not a resident of Egypt or does not have a center or establishment therein, the obligation to pay the tax shall be borne by the person entitled to the taxable income in accordance with the rules and procedures specified in the

Chapter

Three: Commercial and Industrial

Activity. Article (17): Profits from commercial and industrial activity shall be determined based on the revenue generated from all commercial and industrial operations, including profits resulting from the sale of the establishment's assets as stipulated in Clauses 1, 2, and 4 of Article 25 of this Law, profits realized from compensation obtained by the taxpayer as a result of the loss or seizure of any of these assets, and liquidation profits realized during the tax period, after deducting all deductible expenses. Net profit shall be determined based on the income statement prepared in accordance with Egyptian accounting standards, and the tax base shall be determined by applying the provisions of this Law to the

aforementioned net profit. Article (18): The rules and principles of tax accounting and tax collection proced

The Minister shall issue a decision on the profits of small establishments, in a manner that does not conflict with the provisions of the Law on the Development of Small Establishments issued

by Law No. 141 of 2004, in a manner that is consistent with their nature and facilitates their tax treatment

Chapter One:

Taxable Income. Article (19):

Tax shall

apply to profits from commercial and industrial activity, including: 1- Profits of commercial or industrial establishments, and mining, quarrying, and petroleum establishments. 2- Profits of craftsmen and small businesses. 3- Profits realized from any commercial or industrial activity, even if limited to a single transaction. The executive regulations of this law shall specify the rules for what constitutes a single transaction for the purposes of applying the provisions of this clause. 4- Profits realized as a result of the transaction or transactions carried out by brokers or agents on commission, and generally any profit realized by any person engaged in brokerage activities for the purchase, sale, or rental of real estate or any type of goods, services, or securities. 5- Profits resulting from the rental of a commercial or industrial premises, whether the rental includes all or some of its tangible or intangible elements, as well as profits resulting from the rental of mechanical and electrical machinery, excluding agricultural tractors, irrigation machinery and their accessories, and machinery and equipment used in agriculture. 6- Profits from transportation activities of all kinds. 7. Profits earned by those who professionally construct or purchase real estate for their own account with the intention of selling it, whether the profit results from selling the property as a whole or subdivided into apartments, rooms, administrative or commercial units, or otherwise. 8. Profits resulting from land subdivision for disposal or construction. 9. Profits from land reclamation or cultivation projects



Article (20)

The tax does not apply to profits resulting from the revaluation of the company's assets.

Individuals, when providing an in-kind contribution in exchange for contributing to the capital of a company

Contribution, provided that the shares corresponding to the in-kind contribution are nominal and not

They must be disposed of within five years.

Article (21)

The company's net taxable profit is determined from all its contractual obligations.

Long-term, based on the percentage of each contract that was executed during the period.

Taxation.

The percentage of each contract that has been executed is determined based on the actual cost.

For work completed up to the end of the tax period, as a percentage of total

- The estimated costs of the

- contract are determined, and the estimated profit is calculated as the difference between

its value and its estimated costs. The estimated profit for each tax period is determined as a percentage of the profit.

The amount estimated according to the previous paragraph is equivalent to the percentage of what was implemented during the tax period.

The profit from the contract shall be settled at the end of the tax period in which it ended.

Implemented based on actual revenues less actual costs after

Deduct the previously estimated profits.

If the tax period account is closed, during which the contract was completed

In the event of a loss, this loss is deducted from the profits of the tax period or periods.

The previous period during which the contract was to be executed, and not exceeding the profits of the contract during that period.

The period. The tax is recalculated on this basis and the taxpayer is refunded what

He should pay it back

with the excess. If the loss resulting from the execution of the contract exceeds the limits indicated in

In accordance with the provisions of the preceding paragraph, the remaining losses shall be carried forward to subsequent years.

Article 29 of this Law. For the

purposes of this Article, a long-term contract means a manufacturing contract or

The preparation, construction, or performance of related services carried out by the establishment

To account for others based on a specific value, and its execution takes more than a period of time.

One tax.



Chapter Two:

Determining Taxable Income. Article (22): Net commercial

and industrial profits subject to tax are determined based on gross profit after deducting all costs and expenses necessary to generate these profits. The following conditions apply to deductible costs and expenses: 1- They must be

related to the commercial or industrial activity of the establishment and necessary for carrying out this activity. 2- They must be genuine and supported by

documentation, except for costs and expenses that are not customarily

documented. Article (23): The following are considered deductible costs and expenses in particular: 1- Interest on loans used in the activity, regardless of their value, after deducting non-taxable or legally exempt credit interest. 2- Depreciation of the establishment's assets, as stipulated in Article 25 of

this Law. 3- Fees and taxes borne by the establishment, excluding the tax paid by the taxpayer in

accordance with this Law. 4. Social insurance premiums levied on the employer for the benefit of the employees and for the employer's own benefit,

which are paid to the National Social Insurance Authority. 5. Amounts deducted annually by establishments from their funds or profits for the account of private savings, pension, or other funds, whether the establishment is in accordance with the provisions of Law No. 54 of 1975 concerning Private Insurance Funds or Law No. 64 of 1980 concerning alternative private social insurance systems, or whether it is established according to a system with its own regulations or conditions, provided that this does not exceed 20% of the total salaries and wages of its employees, and provided that the system to which the

establishments are bound to implement has its own regulations or conditions stipulating that what the establishments

pay according to this system corresponds to the end-of-service bonus or pension, and that the f



On a sum or income, provided that the value of the installments does not exceed
3,000

Egyptian pounds per year. -7 Donations paid to the government, local administrative
units, and other public legal entities, regardless of
their amount. -8 Donations and subsidies paid to Egyptian non-governmental
organizations and institutions registered in accordance with the provisions of the
laws regulating them, and to educational institutions, hospitals under government
supervision, and Egyptian scientific research institutions,
provided that they do not exceed 10% of the taxpayer's net annual profit. -9 Financial
penalties and compensations due from

Article (24)

The following shall not be considered deductible costs and expenses:

1. Reserves and provisions of all kinds. 2. Fines, financial
penalties, and compensations imposed on the taxpayer due to the commission of a
felony or intentional misdemeanor by him or one of his employees.
3. Income tax due according to this law. 4. Interest paid on
loans exceeding twice the credit and discount rate announced by the Central Bank
at the beginning of the calendar year ending the tax period. 5. Interest on loans and
debts of
all kinds paid to natural persons who are not subject to tax or are exempt from it.

Article (25) Depreciation for the establishment's assets

shall be

calculated as follows: 1. 5% of the cost of purchasing,
constructing, developing, renovating, or rebuilding any buildings, facilities,
equipment, ships, or aircraft for each tax period. 2. 10% of the cost of purchasing,
developing, improving, or renovating any intangible assets acquired, including
goodwill, for each tax period. 3. The following two categories of the entity's assets
shall be
depreciated according to the depreciation basis system at the rates indicated for
each: (a) Computers, information systems,
software, and data storage devices



(b) All other business assets are subject to a depreciation rate of 50% of the base for each tax year. -4 No depreciation is calculated for land, works of art, antiquities, jewelry, and other assets of the establishment that are not inherently depreciable. Article (26) For the purposes of Article 25 of this Law, the

depreciation

base is the book value of the assets as listed in the opening balance sheet for the tax period. This base is increased by an amount equivalent to the cost of the assets used and the cost of development, improvement, renovation, or reconstruction during the tax period. It is decreased by an amount equivalent to the annual depreciation, the value of the sale of assets disposed of, and the value of compensation received as a result of their loss or destruction during the tax period. If the depreciation base is negative, the value of the disposal of the asset or the compensation received for it is added to the taxpayer's commercial and industrial profits. However, if the depreciation base does not exceed ten thousand pounds, the entire depreciation base is considered a deductible expense.

Article (27)

stipulates that 30% of the cost of machinery and equipment used in investment in the production sector, whether new or used, shall be deducted in the first tax period during which such assets are used. The depreciation basis stipulated in Article 25 of this [article/article] shall be calculated accordingly.

The law applies to that time period after deducting the aforementioned 30%.

The application of the provisions of the two preceding paragraphs requires that the taxpayer has regular books and accounts.

Article (28)

Bad debts that the taxpayer has written off from the establishment's books and accounts may be deducted if he submits a report from one of the accountants registered in the Accountants and Auditors Register stating that the following conditions are met: -1 The establishment has regular accounts. -2 The debt is related to

the establishment's activity. -3 The amount corresponding to the debt has previously been included in th



-4 The establishment must have taken serious measures to collect the debt and has not been able to collect it after 18 months from the date it was due.

The following are considered serious procedures for debt collection: a) Obtaining a payment order in cases where this is permissible. b) A judgment issued by a court of first instance obligating the debtor to pay the debt. c) Claiming the debt during the execution proceedings for a judgment of bankruptcy or the conclusion of a preventive settlement against bankruptcy. If the debt, or part thereof, is collected, the collected amount must be included in the

establishment's revenues for the year in which it was collected. Article (29) If the accounts for a year end with a loss, this loss shall be deducted from the profits of the following year. If any portion of the loss remains after that, it shall be carried forward annually to subsequent years up to the f

Article (30)

If related persons make conditions in their commercial or financial transactions that differ from the conditions made between unrelated persons that would reduce the tax base or transfer its burden from a person subject to tax to another who is exempt from it or not subject to it, the Authority shall determine the taxable profit on the basis of the arm's le

The head of the department may enter into agreements with related parties to use one or more methods for determining the arm's length price in their transactions. The executive regulations of this law specify the methods for determining the arm's length price

Chapter Three

Exemptions

Article (31)

The following are exempt from tax: 1- Profits from land reclamation or cultivation establishments · for a period of ten years from the date of commencement of activity. 2- Profits from poultry production establishments, beekeeping, livestock breeding and fattening farms, fisheries and fish farm projects, and profits fr



The fishing garage, for a period of ten years from the date of commencement of activity. -3 The proceeds of transactions by natural persons from their investments in securities listed on the Egyptian Stock Exchange, provided that losses resulting from such transactions are not deductible or carried forward to subsequent years. -4 What natural persons receive from: - Returns on bonds and financing instruments of all types listed on the Egyptian Stock Exchange issued by the State or investment companies. - Distributions on shares of capital in joint-stock and limited partnership companies. - Distributions on capital shares in limited liability companies and partnerships, and shares of non-shareholders in limited partnership companies. - Distributions on investment instruments issued by investment funds. -5 Returns received by natural persons on deposits and savings accounts in banks registered in the Arab Republic of Egypt, and on investment, savings, and deposit certificates issued by those banks, and on deposits and savings accounts in post office funds, and on securities and deposit certificates issued by the Central Bank. -6

The profits generated from new projects established with funding from the Social Development Fund, within the limits of the percentage of this funding, for a period of five years starting from the date of commencing the activity or the start of production, as the case may be. This exemption shall only apply to the profits of

the person in whose name

Chapter
Four: Revenues from Non-
Commercial
Professions, Section One:

Taxable Revenues, Article (32)

Tax is imposed on: -1

Net income from freelance professions and other non-commercial professions practiced by the taxpayer independently, where the basic element is work, if it results from practicing the profession or activity in Egypt.



-2 Income received by intellectual property rights holders from the sale or

exploitation of their rights. -3 Any income generated from any profession or

activity not stipulated in Article 6 of this Law

Chapter Two:

Determining Taxable Income. Article (33): Taxable

income shall

be determined annually based on net income during the preceding year. Income from non-commercial professions includes proceeds from the disposal of any professional assets, proceeds from the transfer of expertise or the automatic or partial transfer of professional practice offices, and any amounts collected as a result of office

closure. Net income shall be determined based on the income generated from various operations in accordance with the provisions of this Law, after deducting all costs and expenses necessary for practicing the profession, including asset depreciation, all in accordance with simplified accounting principles issued by a decision of the Minister. The following shall be considered deductible costs: -1

1- Registration fees, annual subscriptions, and professional practice fees. 2- Taxes paid by the taxpayer in connection with practicing the profession, excluding taxes paid in accordance with the provisions of this Law. 3- Amounts paid by the taxpayer to their professional association in accordance with its pension scheme.

4- Life insurance and health insurance premiums paid by the taxpayer for their own benefit and the benefit of their family.

For the taxpayer, from net taxable income of 3000 pounds annually.

The same deduction may not be repeated from any other income

stipulated in Article 6 of this Law.

Article (34)

The donations paid to the government, local administration units and public legal entities or that accrue to them shall be deducted from the net

revenues stipulated in Article 32 of this Law, provided that they do not exceed the net annual



Likewise, donations and subsidies paid to registered Egyptian civil associations and institutions in accordance with the provisions of the laws regulating them, and to scientific institutions and hospitals under government supervision, and to

Egyptian scientific research institutions, provided that they do not exceed 10% of the net

The same donations may not be deducted from any other income

stipulated in Article 6 of this Law. Article (35)

All costs

and expenses necessary to generate the income, based on regular accounts supported by documentation, shall be deducted from the taxpayer's total income, including costs and expenses not customarily documented, in accordance with the executive regulations of this Law. The

· deduction shall be 10% in the event of failure to maintain regular accounting records. In applying the provisions of this chapter, the
· The financier kept regular books.

Chapter

Three Tax

Exemption Article (36)

The following are exempt from tax: 1- Educational institutions under the supervision of the government, public legal entities, the public sector, or the public business sector. 2- Revenue from the authorship and translation of religious, scientific, cultural, and literary books and articles, except for revenue generated from the sale of the authored or translated work for visual or audio production. 3- Revenue from university and institute faculty members and others from their publications and works originally printed for distribution to students according to the regulations and prices set by the universities and institutes. 4- Revenue from members of the Syndicate of Fine Artists from the production of works of painting, sculpture, and engraving. 5- Revenue from self-employed professionals registered as active members of professional syndicates in their field of specialization, for a period of three years.



The exemption period, as mentioned above, is subject to expiry, in addition to the training period required by the law regulating the profession, and any periods of public service, military service, or reserve duty if they occur after the date of commencement of professional practice.

The exemption period is reduced to one year for those practicing the profession for the first time if they have been practicing for more than fifteen years. For the exemption to be valid, the

graduate must have practiced the profession independently, without partnership with others, unless those others

Chapter Five:

Real Estate Income.

Section

One: Taxable Income.

Article

(37): Taxable income includes the following:

- 1. Income from agricultural land.**
- 2. Income from built properties.**
- 3. Income from furnished units.**

Chapter

Two: Determining Taxable Income Article

(38) -1 The

income from agricultural land shall be determined based on the rental value used as the basis for assessing the tax imposed according to the rules stipulated in Law No. 113 of 1939 concerning land tax, after deducting

30% for all costs and expenses. -2 The

income from the agricultural exploitation of horticultural crops from productive fruit orchards exceeding three feddans, and from ornamental, medicinal, and aromatic plants exceeding one feddan, and from horticultural crop nurseries, regardless of the cultivated area, unless the establishment of these nurseries is for the private benefit of their owners, shall be

determined based on the rental value used as the basis for assessing the tax imposed by Law No. 113 of 1939 referred to above, if the holder of the

seedlings is a tenant of the land. However, if the holder of the seedlings is the owner of the



The income stipulated in paragraph 1 of this article is not included in the tax base, except after deducting 20% of this income to cover all costs and expenses. A decision issued by the Minister, in agreement with the Minister of Agriculture, shall specify the age at which fruit trees are considered productive and the types of horticultural crops. The net income subject to tax shall be registered in the name of the holder of the seedlings, whether they own the land or are a tenant. Any agreement or condition to the contrary shall not be binding on the Tax Authority. For the purposes of applying the provisions of paragraph 2 of this article, the taxpayer, their spouse, and their minor children shall be considered a single holder of the seedlings, and the income shall be registered in their name unless ownership was transferred to the spouse or minor children through a means other than the spouse or parent, as applicable. The owner of the seedlings, whether he is the owner of the land or its tenant, is obligated to submit to the competent tax authority data on the planted areas of each type of fruit tree within thirty days from the date on which the fruit trees are considered productive. He is also obligated to submit a statement of

the planted areas of ornamental plants, medicinal or aromatic

In the event of removing the plants, the owner is obligated to notify the tax authority.

The authority responsible for the removal must report the incident within thirty

days of its occurrence. Article (39) stipulates that the income from built properties is determined based on the total rental value used as the basis for calculating the tax on built properties imposed by Law No. 56 of 1954 concerning the tax on built properties, after deducting 40% for all costs and expenses, in addition to the rental value of the private residence in which the taxpayer and his family reside. Income resulting from the granting of usufruct rights is treated as income resulting from fully

owned assets. The taxable income is determined based on the actual rent amount, deducting 50% for all costs and expenses, for income resulting from the rental of any property or part thereof, in accordance with the provisions of the

Civil Code.



Article (40)

The taxpayer may request that the income from real estate wealth stipulated in Article 38 and the first paragraph of Article 39 of this Law be determined based on actual income, provided that the request includes all of the taxpayer's

agricultural

and built properties. The request must be submitted within the period specified for submitting annual returns, and the taxpayer must maintain regular accounting

records as specified in the executive regu

Article (41)

Tax shall apply to income generated from the rental of any furnished unit or part thereof, whether intended for residential use, commercial or industrial activity, a non-commercial profession, or any

other purpose. The taxable income shall be determined based on the actual rental value less 50% to cover all costs and expenses. Article

(42) A tax

of 2.5% shall be levied, without any reduction, on the total income generated from the disposal of built properties or land within city limits, whether the disposal pertains to the property in its original state or after the construction of buildings upon it, and whether this disposal includes the property as a whole, a part thereof,

a residential unit thereof, or otherwise, and whether the construction of the buildings is on land owned by the taxpayer or by a third party. Disposals by an heir of real estate inherited from their ancestor in its original state at the time of inheritance are exempt from this tax, as is the contribution of real estate as an in-

kind share in the capital of joint-stock companies, provided that the corresponding shares are not disposed of for a period of five years. The real estate registration offices must notify the tax authority

of any

transactions subject to tax under the provisions of this law within thirty days of the registration date. For the purposes of this article, a transaction subject to tax is considered a gift to someone other than ascendants, spouses, or descendants, or the granting of a usufruct right over real estate, or its lease for a period exceeding fifty years. However, forced sales, whether administrative or judicial, as well as expropriation



By donation or gift to the government, local administrative units, public legal entities, or public benefit projects.

**Chapter
Three Tax Exemption
Article (43)**

**The following are
exempt from tax: -1 Income from agricultural activity, except as stipulated in this law. -2 Income from cultivated areas in desert lands for a period of ten years starting from the date on which the land is considered productive. A decision will be issued by the Minister in agreement with the Minister of Agriculture regarding the guiding criteria for determining the date on which the land is**

**Chapter
Four:**

Miscellaneous Provisions. Article (44): Anyone who owns one or more built properties or agricultural lands whose total net income from their rental value, as stipulated in Clause 1 of Article 38 and Paragraph 1 of Article 39 of this Law, exceeds the exempt bracket stipulated in Article 7 thereof, shall submit a statement of all built properties and agricultural lands he owns and their rental value to one of the collection offices competent to collect the tax on built properties and agricultural lands within whose jurisdiction any of the aforementioned properties are located, using the form specified in the executive regulations of this Law. Article (45): The amount paid by the taxpayer of the original real estate taxes imposed by Law No. 113 of 1939 concerning land tax and Law No. 56 of 1954 concerning the tax on built properties, as applicable, shall be deducted from the tax due from him according to the provisions of Chapter Five of Book Two of this Law, provided that this deduction do



Agricultural and built real estate included within the assets of the establishment or company.

Book Three:

Tax on Profits of Legal Entities. Chapter One:

Scope of

Tax Application. Article

(47): An

annual tax is levied on the net total profits of legal entities, regardless of their purpose. The tax applies to: 1- Legal entities resident in Egypt with respect to all profits they generate, whether from Egypt or abroad, with the exception of the National Service Projects Organization of the Ministry of Defense. 2- Non-resident legal entities with respect to profits they generate through a permanent establishment in Egypt.

Article (48)

For the purposes of applying the provisions of Article 47 of this Law, the following shall be considered legal entities: 1- Capital companies and partnerships, regardless of the law to which they are subject, as well as de facto companies. 2- Cooperative societies and their federations, taking into account the exemptions granted to them by law. 3- Public bodies and other public legal entities with respect to their taxable activities, without prejudice to the exemptions stipulated in their establishment laws. 4- Banks, companies, and foreign establishments, even if their head office is abroad, and their branches in Egypt. 5- Units established by the local administration with respect to

Article (49)

The tax base shall be rounded down to the nearest ten pounds less and shall be subject to tax at a rate of 20% of net annual profits.



Notwithstanding the rate mentioned in the preceding paragraph, the profits of the Suez Canal Authority, the Egyptian General Petroleum Corporation, and the Central Bank are subject to a tax rate of 40%, while the profits of oil and gas exploration and

production companies are subject to a tax rate of

Article (50)

The following are exempt from tax: 1- Ministries and government departments. 2- Educational institutions under state supervision that do not primarily aim to generate profit. 3- Associations and non-governmental organizations established in accordance with the provisions of Law No. 84 of 2002

concerning Associations and Non-Governmental Organizations, within the limits of their established purpose. 4- Entities that do not aim to generate profit and conduct activities of a social, scientific, sports, or cultural nature, within the limits of their activities that are not commercial,

industrial, or professional in nature. 5- Profits of private insurance funds subject to the provisions of Law No. 54 of 1975. 6- International organizations, technical cooperation bodies, and their representatives, provided that an international agreement stipulates their exemption. 7-

Profits and distributions of investment funds established in accordance with the Capital Market Law No. 95 of 1992, and returns on bonds listed on the official tables of the stock exchange. 8- Proceeds obtained by resident legal entities from their investments in securities listed on the Egyptian Stock Exchange, without deducting or carrying forward any losses resulting from such transactions. -9 Returns obtained by legal entities on securities and certificates of

(Replaced by Presidential Decree No. 181 of 2005 issued on September

28, 2005). -10 Distributions, profits, and shares received by legal entities



-11 Profits of land reclamation or cultivation companies for a period of ten years from the date of commencement of activity or the start of production, as applicable, in accordance with the rules specified in the executive regulations of this law. -12 Profits of poultry production companies, beekeeping companies, livestock breeding and fattening farms, and fisheries and fish farms for a period of ten years from the date of commencement of activity

Chapter Two: Determining Taxable Income.

Article (51): Net taxable income shall be determined in accordance with the provisions applicable to profits from commercial and industrial activity as set forth in Chapter Three of Book Two of this Law, unless otherwise

stipulated in this Chapter. **Article (52):** The following shall not be considered deductible expenses: 1- Interest paid by legal entities stipulated in Article 47 of this Law on loans and advances they have obtained exceeding four times their average equity, according to financial statements prepared in accordance with Egyptian accounting standards. This provision shall not apply to banks, insurance companies, or companies engaged in financing activities, as determined by a decision of the Minister. 2- Amounts set aside to establish or supplement provisions of all types, except for the following: (a) 80% of loan loss provisions that banks are obligated to establish in accordance with the rules for preparing and presenting financial statements and the valuation principles issued by the Central Bank. (b) Technical provisions that insurance companies are obligated to establish pursuant to the provisions of the Law on Supervision and Control of Insurance in Egypt, issued by Law No. 10 of 1981. -3. Profit shares and dividends distributed, and attendance fees paid to shareholders on



And its alternatives.

-5 The employees' share of the profits that are to be distributed according to the law.

-6 Other costs stipulated in Article 24 of this Law.

Article (53)

In the event of a change in the legal form of one or more legal entities, this does not fall under

Profit and Loss Account: Capital gains or losses resulting from reinvestment

Valuation, provided that assets and liabilities are recorded at their book value at the time of change

The legal form is required for tax calculation purposes, and depreciation must be calculated accordingly.

Regarding assets and the transfer of provisions and reserves in accordance with the rules established before

Making this change.

A change in legal form specifically includes the following: -1

Merger of two or more resident companies.

-2 Dividing a resident company into two or more resident companies.

-3. Transformation of a partnership into a partnership of funds, or transformation of a partnership of funds into

4. Purchasing or

acquiring 50% or more of the shares or rights.

Voting, whether in terms of number or value, in a company based on shares in

The acquiring or purchasing company.

-5 Purchasing or acquiring 50% or more of the assets and liabilities of a company

Assessed by another resident company in exchange for shares in the acquiring company or

The acquirer.

-6 Transformation of a legal entity into a capital

company. Article (54)

Foreign tax paid by a resident company is deductible from its profits

The tax due on it abroad, in accordance with the provisions of this law, is due from the tax levied on it abroad.

Provided that supporting documents are submitted.

Losses incurred abroad are not deductible from the tax base in Egypt.

For the same tax period or any subsequent period.

The discount mentioned in the first paragraph may not exceed the tax due.

Payment in Egypt, which could have been due on profits earned from

Business abroad.



Article (55)

The provisions of Article 29 shall not apply to losses incurred by the company in the tax period and prior periods if there is a change in the ownership of its capital exceeding 50% of the shares or voting rights, provided that this is accompanied by a change in the company's activity. For the provisions of the preceding paragraph to apply to joint-stock companies and limited partnerships by shares, their shares must not be

Book Four:

Withholding Tax, Article (56):

Amounts

paid by owners of sole proprietorships and legal entities resident in Egypt, and non-resident entities with a permanent establishment in Egypt, to non-residents in Egypt, are subject to a 20% tax without deducting any costs. These amounts include the following:

1- Interest. 2- Royalties, excluding amounts paid abroad for design or know-how rights to serve industry. The Minister, in agreement with the Minister of Industry, shall determine the cases in which know-how rights are to serve industry. 3- Fees for services. The share of a permanent establishment operating in Egypt in administrative, control, and supervisory expenses borne by its head office abroad is not considered a service fee. 4- Fees for the activities of athletes or artists,

whether paid directly or through any other entity. Interest on loans and credit facilities obtained by the government, local administrative units, and other public legal entities from sources outside Egypt is exempt from the tax stipulated in this article. Public sector companies, public business sector companies, and private sector companies are also exempt from this tax, provided that the loan or facility term is at least three years. The aforementioned es



The tax due must be paid to the competent tax authority within fifteen days of the month following the month in which the deduction was made. Article (57)

Amounts

paid by sole proprietorships and legal entities to any natural person as a commission or brokerage fee are subject to tax, provided they are unrelated to the practice of their profession.

The payer of the commission or brokerage fee is obligated to withhold the amount of tax due and remit it to the competent tax authority within the first fifteen days of the month following the month in which the commission or brokerage fee was paid, according to the rate stipulated in Article 56 of this law, without deducting any costs.

Article (58)

Without prejudice to any tax exemptions stipulated in other laws, the returns on bonds issued by the Ministry of Finance in favor of the Central Bank or other banks shall be subject to tax at a rate of 32%, without deducting any costs. The payer of these returns or the person who receives them shall be obligated to withhold the amount of tax due and deliver it to the competent tax authority within the first fifteen days of the month following the month in which

Book Five:

**Deduction, Collection, and Advance Payments on Account of
Tax. Chapter**

**One: Commercial and
Industrial**

Activity.

Section

One: Deduction. Article (59): The entities and establishments listed below shall deduct a percentage from any amount exceeding three hundred pounds that they pay as a commission, brokerage, or in consideration of purchase, supply, contracting, or service transactions to any person in the private sector. A decision shall be issued by the Minister to determine this percentage, not exceeding 5% of this amount, on account of the tax due from these persons. This excludes the installments paid



1. Government ministries and departments, local administrative units, public authorities, national economic or service authorities, public sector companies and units, public business sector companies, capital companies, establishments and companies subject to investment laws, companies of individuals whose capital exceeds fifty thousand pounds regardless of their legal form, companies established under special laws, companies and projects established under the free zone system, branches of foreign companies, pharmaceutical warehouses and import offices, cooperative societies, press institutions, educational institutes, syndicates, associations, clubs, youth centers, federations, hospitals, hotels, associations and civil institutions of all purposes, professional offices and foreign representative offices, film production establishments, theaters and entertainment venues, and private insurance funds established by Law No. 54 of 1975 or any other law. 2.

Other entities and establishments that are determined by a decision of the Minister.

These entities and establishments are obligated to remit the deducted amounts to the Tax Authority in accordance with the procedures specified in the Executive Regulations of this Law. Any entity or establishment that fails to deduct or remit these amounts is obligated to pay the Tax Authority these amounts, in addition to any

associated late payment penalties. Article (60) Private sector entities referred to in Article 59 of this Law are exempt from the provisions of withholding tax if the Tax Authority determines that they maintain a regular record of their obligation to pay the quarterly amounts paid in advance, in accordance with the provisions of Chap

Chapter Two: Advance

Payments.

Article (61): Subject to the provisions of Article 63, the advance payment system, for the purposes of this Law, means the taxpayer's payment of an amount on account of the tax due for the tax period, equal to 60% of either of the following: 1- The last tax

declared by the taxpayer. 2- The tax estimated by the taxpayer for the year in which he wishes to app



It is required if the taxpayer has not previously submitted a tax return or if the tax return he submitted for the tax period prior to submitting the application includes a loss.

Article (62)

The taxpayer may choose between the withholding tax system, in accordance with Article 59 of this Law, and compliance with the provisions of the advance payment system stipulated in this chapter. The choice shall be made by submitting a request to the competent tax authority at least sixty days before the start of the tax period in which the taxpayer wishes to apply the advance payment system. The tax authority shall respond to the taxpayer's request with its decision within sixty days of its submission. Failure to respond within this period shall be considered a rejection of the request. The executive regulations of this Law shall specify the form on which the request is to be submitted, the documents that must be attached

to it, and the procedures to be followed in not

Article (63)

The taxpayer, in accordance with the advance payment system, is obligated to pay the percentage stipulated in Article 61 of this Law in three equal installments, each installment to be paid consecutively on dates not exceeding the thirtieth of June, the thirtieth of September, and the thirty-first of December of each year. After paying the second installment, the taxpayer may notify the Tax Authority of a reduction in the third installment or its non-payment if it becomes apparent to him that his profits for the full year will be less than the estimated profits for the preceding year. The number of installments may be reduced when the remaining period after submitting the application referred to in Article 61 is less than twelve months, provided that each of

these installments is paid to the competent tax office in accordance with the conditions and procedures. The amounts paid under this system are settled upon submission of the annual return stipulated in Article 82 of this Law. The taxpayer is obligated to pay the remaining portion of the tax due as per the return, after deducting any advance payments previously made, plus annual interest calculated according to



The credit and discount rate announced by the Central Bank shall be subject to a 2% deduction, excluding monthly and pound monies. Article (64) The taxpayer may change their choice of the advance payment system and adhere to the withholding tax system in accordance with Article 59 of this Law, subject to the following two conditions: -1 The taxpayer must have applied the advance payment system for at least one full year and must have paid all dues stipulated under this system. -2 The taxpayer must submit a request to the competent tax authority at least ninety days prior to the start of the tax year from which they wish to change their choice of the advance payment system.

The tax authority is obligated to accept the application if the two aforementioned conditions are met, and to notify the taxpayer of its decision within sixty days of the application date. Failure to notify the taxpayer within this period will be considered

acceptance of the application. The executive regulations of this law will specify the procedures to be followed in submitting t

The application and notification of the Tax Authority's

decision. Article (65) The taxpayer is exempt from applying the advance payment system

in either of the following two cases: 1- If the taxpayer incurs a tax loss for two consecutive years. 2- If the legal form of the establishment or company changes. The Tax Authority may deny the taxpayer the application of the system if it finds that there are substantial differences between the taxpayer's estimated profits and the actual profits subject to tax in each year in which the system is applied. The Tax

Authority must notify the taxpayer of this by

Chapter Three:

Collection on Account of Tax, Article

(66): Entities

that grant licenses for wholesale trade in vegetables, fruits, grains, and other foodstuffs, or those that grant licenses to practice



Craft activities require that, upon renewal of the license, an amount be paid as a tax credit to the person in whose name the renewal is issued, and these entities are

prohibited from renewing the license unless this amount is

The amount shall be determined by a decision from the Minister, not exceeding

10% of the renewal fee.

Article (67)

The Customs Authority shall collect from private legal entities a percentage of the value of their imports of goods permitted to be imported into the country for trade or manufacture, as a prepayment of the tax due from them. In the

event of the transfer of these goods or the endorsement of their documents to a third party,

Obtaining a percentage of the proceeds from the transferor, the transferee, and the parties to the endorsement.

The Minister shall issue a decision specifying these percentages, not exceeding

2% of the value of imports. These percentages shall be collected along with the customs duties on these goods, using the

same

collection procedures. Article (68) Slaughterhouses, when slaughtering on behalf of private legal entities subject to tax, shall collect, along with the prescribed

slaughtering fees, an amount on account of the tax due, for each head of slaughtered animal. The Minister shall issue a decision specifying

this amount, not exceeding 10%

Article (69)

Traffic departments shall refrain from renewing or transferring the operating license of taxis or passenger vehicles to any private sector individual until a sum is collected as an advance payment of the applicable tax. This sum shall be determined by a ministerial decree and shall not exceed 10% of the licensing fee stipulated in the Traffic Law issued by Law No. 66 of 1973. This sum shall be collected in a single payment or in installments according to the regulations governing the payment of the vehicle tax as stipulated in the Traffic Law.



Chapter Two
Non-Commercial
Professions

Section
One

Deduction Article (70) The entities stipulated in Article 59 of this Law shall deduct, as a prepayment of tax, 5% of any amount exceeding one hundred pounds paid to the owners of non-commercial professions, which are determined by a decision of the

Chapter Two:
Tax Prepayment. Article (71):

Lawyers'

offices, at all levels, are obligated, upon receiving pleadings or appeals for registration, and real estate registration offices, upon endorsing documents for registration, to collect an amount on account of the tax due from the lawyer who signed the pleading or document. Hospitals are obligated to collect from doctors or specialists performing work there on their own account an amount on account of the tax. The Customs Authority is obligated to collect from customs brokers an amount for each customs declaration they submit to the Authority, on account of the tax due. The amounts stipulated in the preceding paragraphs shall be determined by a decision of the Minister.

Chapter
Three:
General

Provisions. Article (72): The entities stipulated in Articles 66, 67, 68, 69, 70, and 71 of this Law are obligated to remit the amounts they collected on account of the tax to the Tax Authority, in accordance with the procedures and within the timeframes specified in the Executive Regulations of this Law. The entities stipulated in the first paragraph are obligated to



The amounts were deducted for the tax account and paid to the Tax Authority in accordance with the procedures and within the timeframes specified in the Executive Regulations of this Law. In the event of failure to deduct or remit the amounts due, the entity is obligated to pay these amounts to the Tax Authority, in

addition to any applicable late payment penalties. Article (73) The provisions

regarding withholding and collection on account of tax do not apply to amounts paid to the taxpayer during

Book Six

Obligations of Taxpayers and Others

Chapter One Notification

and

Bookkeeping Article (74) Anyone who engages in a commercial, industrial, craft, professional or non-commercial activity is obligated to submit a notification to the

Authority within thirty days from the date of commencing t

The financier who establishes a branch, office, or agency for the establishment, or moves its headquarters to another location, or makes any change related to the activity or

the establishment, is obligated to notify the authority of that within thirty days from the date of th

The obligation to notify, for legal entities, rests with the legal representative, manager, appointed board member, or person responsible for management, as applicable.

The executive regulations of this law specify the notification details, supporting documents, and procedures to be followed. Article

(75) Every taxpayer engaged in commercial, industrial,

craft, or non-commercial activities, as well as anyone practicing a profession independently, is obligated to submit an application to the Tax Authority for a tax card.

This card is issued to those who submitted it as part of the establishment, licensing, or renewal procedures for practicing a profession or activity. The Tax Authority shall issue the tax card to them.

The executive regulations of this law specify the data to be included in the tax card, its validity period, and the period during which it is delivered to the taxpayer.



Data pertaining to the tax card of taxpayers not subject to the provisions of withholding and collection on account of the tax stipulated in this law. Article (76)

The entities

authorized to license the printing or publishing of books, publications, artistic works, and other materials, or to register or deposit them, shall notify the Tax

Authority in each case of the author's name and address, and the title of the

book, work, or other material. The provisions of this

article shall

not apply to the Ministry of Defense. Article (77) The competent authorities in ministries, government departments, local administrative units, and other public legal entities and syndicates that are authorized to grant licenses to practice a specific trade, industry, craft, or profession, or that are authorized to grant licenses to construct a building or to allow the use of a building for practicing a trade, industry, craft, or profession, shall notify the Tax Authority upon granting any license, providing the data and name of the license applicant, in accordance with what is specified

in the executive regulations of this law, within a period not exceeding the end of the month following the month in which the license was issued.

Granting a privilege, obligation, or permission necessary to practice a trade, industry, craft, or profession shall be considered equivalent to the aforementioned license. Article (78) The following

taxpayers are obligated to maintain the books and records required by the nature of their trade, industry, craft, or profession, in accordance with the executive regulations of this law: -1 A natural person subject to tax according to the provisions of Chapter One of Book Two of this law, who engages in a commercial, industrial, craft, or professional activity, if their invested capital exceeds

fifty thousand pounds, or their annual turnover exceeds two hundred and fifty thousand pounds

The taxpayer is obligated to keep the books and records stipulated in the first paragraph of this article, and the supporting documents thereof, at their premises throughout the period stipulated in Article 91 of this

law. Furthermore, the taxpayer who is a non-commercial professional is obligated to hand over all o



The taxpayer shall pay him any amount due to him for practicing his profession or activity, whether it be fees, commission, bonus, or any other amount subject to this tax, and shall issue a receipt signed by him indicating the date and amount of the payment. The taxpayer is obligated to present the receipt to the tax authority upon request. Taxpayers may maintain electronic accounts showing annual revenues and expenses. The Minister shall issue a decision regulating the maintenance of these accounts and the controls for transitioning from paper to electronic accounting systems.

Article (79) If the taxpayer ceases work, either automatically or partially, the actual profits up to the date of cessation shall be included in the tax base. Partial cessation means the taxpayer's termination of some aspects of the activity or the termination of the activity of one or more branches in which the activity is conducted. The taxpayer must notify the competent tax office within thirty days of the date of cessation of work; otherwise, the profits shall be calculated for a full tax year unless the taxpayer proves that he has not generated any revenues since that date. If the owner dies, or if the owner dies within the thirty-day period specified for submitting notification of closure, and the establishment ceases operations, the heirs are obligated to notify the relevant tax authority of this cessation within sixty days of the date of their ancestor's death and to submit the tax return within ninety days of that date. Article

(80) In the event of the transfer of all or part of the establishment, the transferor is obligated to notify the competent tax authority of this transfer within thirty days of its occurrence; otherwise, the profits will be calculated for a full tax year. Furthermore, the transferor is obligated, within sixty days of the transfer date, to submit a separate declaration detailing the results of operations in the transferred establishment, accompanied by the necessary documents and data to determine the profits up to the date of transfer. The data from this declaration will be included in the transferor's

annual tax return. The tra



The assignee may request the competent tax authority to provide a statement of the taxes due on the assigned establishment. The authority must provide the requested statement by registered mail with return receipt requested within ninety days of the request date; otherwise, the assignee is absolved of the tax liability. Their liability is limited to the amounts stated in that statement. The assignment has no legal effect regarding tax collection unless the legally prescribed procedures for the sale and mortgaging of commercial premises are followed. The tax due on the profits of the assigned establishment up to the date of assignment is determined, and the assignee has the right to appeal the tax for which they are liable.

Article (81) The taxpayer who wishes to stop practicing the activity, or to relinquish the establishment or to leave the country permanently, may request the Authority to determine his tax position up to the date of his cessation, relinquishment or departure from the country, provided that he has submitted the declarations that he is obligated to submit in accordance with the provisions of this law, and that he pays a fee determined by the executive regulations of this

law that does not exceed

Chapter Two:

Tax Returns. Article

(82): Every

taxpayer is obligated to submit an annual tax return to the competent tax authority, using the form specified in the executive regulations of this law, accompanied by the documents specified in the regulations. The

provisions of the preceding paragraph apply to the taxpayer during their tax

exemption

period. Submitting the return for the first time constitutes

notification of the commencement of business activity. The taxpayer is exempt from

1. If his income is limited to salaries and the like. 2. If his income is limited to real estate revenues and his net income from them does not exceed the amount specified in Article 7 of this Law.

-3 If his income is limited to salaries and the like, and income from real estate wealth

His net income from them did not exceed the amount specified in Article 7 of this law.

Article (83)

The tax return must be submitted within the following
deadlines: (a) before the first of April of each year following the end of the tax period for the year
(b) Before the first of May of each year or within four
months following the expiry date.

The fiscal year for legal entities. The declaration must be
signed by the taxpayer or their legal representative, and if the declaration is prepared
An independent accountant must sign the declaration along with the taxpayer or their representative.

Legally, otherwise the declaration is considered
null and void. In all cases, the declaration must be signed by a registered accountant.
According to the schedule of accountants and auditors, this applies to capital companies and associations.
Cooperatives, natural persons, and companies of persons if the number exceeds

The work for each of them is worth two million pounds annually.

In the event of the financier's death during the year, the heirs or the executor of the estate must
Or the liquidator may submit the tax return for the period preceding the death within
Ninety days from the date of death, and the tax due from the taxpayer must be paid.

From the estate.

The taxpayer, whose residence in Egypt is interrupted, must submit a tax return.

At least sixty days before his stay is interrupted, unless the interruption is for a reason

A sudden event beyond his
control. And the financier who automatically ceases his business activities in Egypt must...

The tax return must be submitted within sixty days of the date of cessation.

Article (84)

The tax authority is obligated to accept the tax return stipulated in Article 82

The taxpayer is responsible for compliance with
this law. Subject to the provisions of paragraph 2 of Article 63 of this law, the taxpayer is obligated to comply.
The taxpayer must pay the tax amount due as per the return on the same day it is submitted.
After deducting taxes and advance payments, and in case of an increase
Tax deductions and advance payments on the amount of tax due are made
Use the increase to settle previous tax liabilities; if none exist



Regarding prior tax liabilities, the Tax Authority is obligated to refund any excess unless the taxpayer requests in writing that this excess be used to settle any future tax

liabilities. Article (85) If the taxpayer requests, at least fifteen days before the deadline for submitting the tax return, an extension of the submission deadline and pays the tax amount based on their assessment therein by the date of the request, the deadline for submitting the return shall be extended by sixty days. This extension shall not affect the tax payment deadline or the due date for late payment

penalties on any unpaid amount. Article (86) Entities obligated to apply the provisions of withholding must pay the withheld amounts no later than the end of April, July, October, and January of each year. They must provide the necessary records for auditing by the Tax Authority,

which must include the following data for each tax period: (a) The amounts paid and the recipient. (b) The tax withheld from these amounts. These entities shall send a copy of the aforementioned records to the Tax Authority for filing, in accordance

with the rules and proced

Article (87)

If the taxpayer discovers, during the period of prescription of the tax debt, an oversight or error in his tax return that was submitted to the competent tax authority,

he shall immediately submit an amended tax return after correcting the oversight or e

If the taxpayer submits the amended tax return within thirty days of the legal filing deadline, the amended return shall be considered the original return. Banks, public

sector companies and units, public business sector companies, and public legal entities shall submit a final return within thirty days of the date their general assembly approves their accounts, and any tax differences shall be paid accordingly.

In the case of submitting an amended return in accordance with paragraphs two and

three, any error or omission in the return shall not be considered a violation



Article (88)

The Tax Authority may not disregard or discard the taxpayer's regular books and records in accordance with the text of Article 78 of this Law unless the Tax Authority proves, by means of documents it submits, that they are incor

Chapter Three:

Tax Assessment.

Article (89):

Tax on fixed profits is assessed based on the declaration submitted by the taxpayer. The declaration constitutes an assessment of the tax and an obligation to pay it by the legal deadline, and the tax is paid based on this declaration.

Article (90)

The Tax Authority may amend the assessment based on the data contained in the tax return and its supporting documents. The Authority may also make an estimated tax assessment based on any available data if the taxpayer fails to submit their tax return or fails to submit the data and supporting documents.

If the Authority possesses documents proving that the return does not conform to the truth, it must notify the taxpayer, conduct an examination, correct or amend the return, and determine the taxable

income. The Head of the Tax Authority, after obtaining the approval of the Minister of Finance, may assess the tax before its due date if collection is necessary due to specific evidence that the taxpayer is planning to evade taxes by transferring their assets to another person or taking other actions that would harm tax collection. In such cases, the competent tax office must notify the taxpayer by registered mail with return receipt requested, specifying the elements of the tax assessment and its value, using the form specified in

the executive regulations of this law. Article (91) In all cases, the Tax Authority may not make or amend the assessment except within five years, starting from the date of expiry of the l



The tax period is six years if the taxpayer is evading taxes. This period is interrupted by any of the grounds for interrupting the statute of limitations stipulated in the Civil Code, by notification of the tax assessment details, by a warning to the taxpayer to pay the tax, or by referral to the appeal.

The taxpayer may request a refund of any overpayments made on account of the tax within five years from the date on which their right to a refund arose. Article (92) If a person is taxed and it is proven that they are working for another person through sham transactions or collusion to obtain any advantages or to evade any obligations stipulated under the provisions of this law, they shall be jointly liable for the payment of the tax due on the profits. Article (93) In all cases, the tax authority shall, on its own initiative or at the taxpayer's request, correct any

Chapter Four: Examination and Investigations

Article (94) The Authority shall examine taxpayers' declarations annually through a sample, the rules and standards for which shall be determined by a decision of the Minister based on a proposal from the Head of the A

Article (95)

The competent tax office is obligated to notify the taxpayer by registered mail with return receipt requested, specifying the date, time, and location of the inspection and its estimated duration, at least ten days in advance. The taxpayer is obligated to receive the tax authority employees who have judicial powers and allow them to examine all books, documents, and records in their possession. The Minister may authorize tax authority employees with judicial powers to enter the taxpayer's premises during working hours without prior notice if the tax authority has serious



Elements that have already been examined may not be re-examined unless new facts are revealed.

Substantive issues warranting re-examination.

Article (96) The taxpayer is obligated to provide the data, copies of books, documents, and records, including lists of customers and suppliers, requested by the Tax Authority in writing, within fifteen days of the date of the request, unless the taxpayer provides sufficient evidence of the difficulties encountered in preparing and submitting

the required data within the specified period. The head of the Tax Authority, or his designee, may extend this period for a suitable duration if the taxpayer provides

sufficient evidence of the difficulties

Article (97)

Government entities, including the Illicit Gains Authority, local administrative units, public bodies, public sector companies, and syndicates, may not, under any circumstances, even under the pretext of maintaining professional secrecy, refuse to allow employees of the Tax Authority who have judicial powers to access any documents and papers they request for the purpose of assessing the tax stipulated under this law. Furthermore, the aforementioned entities must, in all cases, provide the Tax Authority with all the data it requests for tax assessment. Article (98) The Public

Prosecution

or the Illicit Gains Authority may provide the Tax Authority with access to the files of any civil or criminal case related to the examination, assessment, or collection of taxes stipulated under this law that the Tax Authority conducts.

Article (99) For the purposes of this law, the Minister may request the President of the Cairo Court of Appeal to order the Tax Authority employees to access or obtain data related to clients' accounts, deposits, and safe deposit boxes. Those entrusted with managing funds, those whose profession involves paying revenues from securities, as well as companies, organizations, establishments, owners of commercial and non-commercial professions, and other financiers, are obligated to provide the tax authority's employees with judicial powers, upon re-



Those required by the Commercial Code or other laws to keep such books, records, and related documents, including revenue and expenditure statements, are to be provided to enable the aforementioned officials to verify compliance with all provisions of this law, whether for themselves or other taxpayers. It is not permissible to refuse

to allow the aforementioned tax authority officials access to the books, records, and other documents, provided that this access takes place at the location of the books, records, and other documents during normal working hours and

without the need for prior notification. Article (100) Educational establishments, institutions, bodies, and establishments exempt from the tax stipulated in this law are obligated to provide the tax authority officials with judicial powers, upon request, with their accounting books and any other documents.

Article (101)

Every person who, by virtue of their position, jurisdiction, or work, is involved in assessing or collecting the taxes stipulated in this law, or in adjudicating any disputes related thereto, is obligated to observe professional confidentiality. No employee of the Tax Authority whose work is not related to assessing or collecting taxes may provide any data or disclose any document, statement, file, or other information to any third party except in cases permitted by law. Data from tax files may only be released upon a written request from the taxpayer or pursuant to a provision in any other law. Providing data to the transferee of the establishment or exchanging information and data between revenue-generating entities affiliated with the Ministry of Finance, in accordance with regulations is

Chapter Five

Guarantees of

Collection

Article (102) Taxes and other amounts due to the government under this law shall be a privileged debt, ranking after judicial expenses, against all the assets of those who are indebted to them or obligated to supply them.



The tax debt is payable at the tax authority's headquarters and its branches, without
A claim must be made at the debtor's
place of
business. Article (103) stipulates that the collection of unpaid taxes and late payment
penalties stipulated in this law shall be by means of enforceable claims issued in the
name of those legally obligated to pay them, without prejudice to any right they may have
to recourse against those who owe them. These claims shall be signed by the tax authority
employees designated by the executive regulations and shall be sent by registered mail
with return receipt requested.

Article (104)

The Tax Authority has the right to issue an execution attachment for the amount of
taxes due based on the taxpayer's declarations if they are not paid within the legal
deadlines, without the need to issue a demand or notice. In this case, the taxpayer's
declaration shall be the basis
for execution. The Tax Authority must notify the taxpayer of the payment demand
within sixty days from the date of the taxpayer's approval of the tax office's assessments,
or the issuance of a decision by the Appeals Committee or a judgment by the Court of
First Instance, by registered
mail with return receipt requested. In all cases, attachment may not be issued except
after notifying the taxpayer by registered mail with return receipt requested, unless there
is a risk that threatens the collection

Article (105)

The tax shall be collected in a single payment or in installments not exceeding the
number of tax years for which the tax is due. If general
circumstances or circumstances specific to the taxpayer prevent the collection of
the tax in accordance with the preceding paragraph, the head of the tax authority or his
designee may allow payment in installments over a longer period, not exceeding twice
the number of tax years. The right to installment payments shall lapse upon failure
to pay any installment. The head of the tax authority or his designee may, upon a request
submitted by the taxpayer, approve the
renewal of the
installment plan in cases he deems appropriate. Article (106) The following shall be followed in the collection



The law is based on the provisions of Law No. 308 of 1955 concerning administrative seizure and the provisions stipulated in this law.

Article (107): If

it becomes apparent to the Tax Authority that the rights of the Public Treasury are at risk of being lost, its head may request the competent judge of urgent matters to issue an order, upon petition, to seize the funds sufficient to satisfy the rights at risk of being lost, regardless of who possesses them. The funds shall be considered seized by virtue of this order as a precautionary seizure and may not be disposed of unless the seizure is lifted by a court ruling, or by a decision of the head of the Tax Authority, or after sixty days have passed from the date of the seizure without notifying the taxpayer of the value of the tax account.

The issuance of a seizure order, as per the preceding paragraph, shall be at the request of the Minister if the taxpayer does not possess sufficient funds to cover the outstanding obligations, other than liquid assets deposited in banks. The seizure shall be lifted by a decision of the judge of urgent matters if the taxpayer deposits with the court treasury an amount sufficient to cover these obligations, designated as a guarantee for the payment

of the tax debt upon its final determination. Article (108) The clerk of the court before which the execution proceedings against real estate are being conducted shall notify the tax authority, by registered mail with return receipt requested, of the deposit of the list of sale contracts.

The clerk of the court before which the sale takes place, as well as anyone conducting the auction, must notify the Tax Authority by registered mail with return receipt requested of the date of the sale of the real estate or movable property at least fifteen days prior to the sale date. Any negligence or delay in providing the notification referred to in the two preceding paragraphs shall subject the responsible party to disciplinary

action. Article (109) Any public or private person who has withheld funds on account of the Tax Authority or has deposited them with it pursuant to the provisions of this Law or Law No. 308 of 1955 referred to above, must provide the taxpayer from whom these funds were withheld with a certificate, upon their request and exempt from all fees, specifying the amounts withheld, the date of withholding, and the date of their deposit with the



Certificates or receipts issued by the entities that made the deduction or collection on account of the tax due from the taxpayer are considered proof of payment of this tax within the limits of the amounts established therein, even if

the detainer did not supply the value to the au

Article (110) A

late payment penalty shall be

levied on: 1- Any amount exceeding two hundred pounds of the unpaid tax due, even if a decision has been issued to allow its payment in installments, starting from the day

following the expiry

of the deadline for submitting this declaration. 2- Any taxes or amounts that the law stipulates must be withheld at source or collected and deposited into the public treasury

but not remitted, starting from the day following the expiry of the deadline for remittance in a

The late payment penalty referred to in this article is calculated based on the credit and discount rate announced by the Central Bank on the first of January preceding that date, plus 2%, excluding the monthly and pound valuations. Appeals or legal challenges do not suspend the accrual of this

penalty. Article (111) Late payment penalties on overdue amounts are treated

as the tax to which they pertain. The order of payment of amounts paid to the Tax Authority in fulfillment of the taxpayer's obligations is as

follows: 1- Administrative and judicial expenses. 2- Late payment penal

Article (112)

If the Tax Authority determines that the taxpayer is entitled to a refund of all or part of the taxes or other amounts paid unjustly, it shall be obligated to refund these taxes and amounts within forty-five days from the date of the taxpayer's request for refund. Otherwise, it shall be liable for a late payment penalty based on the credit and discount rate announced by the Central Bank

on the first of January preceding the



Article (113) A

legal offset shall be made between any excess tax paid by the taxpayer under any tax imposed by this law and any amount due and payable under any tax law applied by

the Tax Authority. Article (114) The

Minister, upon

the recommendation of the Head of the Tax Authority, may waive all or some of the taxes.

In consideration of the delay in payment, whether permanent or

temporary, in the following cases: 1- If the

taxpayer dies without an apparent estate. 2- If it is proven that

the taxpayer has no assets that can be seized. 3- If the taxpayer has ceased operations

and has assets that can be seized to cover all or part of the tax authority's dues, in this

case, the taxpayer or their heirs must retain, after seizure, an income of no

less than five

thousand pounds annually. Article (115) The Minister may issue tax bonds in which taxpayers can subscribe

Tax exemption as determined by the minister.

These instruments and the returns due on them shall have the force of discharge

upon payment of the taxes due.

Chapter Six:

Appeals

Procedures.

Article (116): A notification sent by registered mail with return receipt requested, or by any electronic means that is admissible as evidence in accordance with the Electronic Signature Law issued by Law No. 15 of 2004, as determined by a decision of the Minister, shall have the same effect as a notification made through legal channels,

including serving the person whose property has been seized

with a copy of the seizure report. The notification shall be legally valid whether

the taxpayer receives it from the competent tax office, the competent appeals

committee, at the

establishment's premises, or at their chosen place of residence. In the event that

the establishment is closed, or the taxpayer is absent and cannot be notified by any of

the aforementioned methods, or if the taxpayer refuses to receive the notification, this shall be documented



This notice shall be posted on the notice board of the tax office or the relevant appeals committee, as applicable, and a copy shall be affixed to the establishment's premises. If the notice is returned marked indicating the absence of the establishment or the inability to identify the taxpayer's address, the taxpayer shall be served in the presence of the Public

Prosecutor's Office after the necessary investigations have been conducted. The

aforementioned

publication and service in the presence of the Public Prosecutor's Office shall be considered an interruption of the statute of limitations. In the cases stipulated in paragraphs three and four of this article, the taxpayer may appeal the assessment or the decision of the appeals committee,

as applicable, within sixty days from the date of the sei

Article (117)

In cases where the tax authority assesses the tax, the taxpayer may appeal the tax assessment form within thirty days of receiving it. If no appeal is filed within this period, the assessment becomes

final. Article (118) A taxpayer subject to income tax may, within thirty days of receiving the taxable income, object to the deducted taxes by submitting a request to the deducting entity. This entity must forward the request, along with its response, to the competent tax office within thirty days of its submission.

The aforementioned entity may also object to any tax differences resulting from the audit within thirty days of receiving the notification. The tax office shall examine the request or objection. If it finds the request or objection to be valid, it must notify the entity to amend the tax assessment. If it is not convinced of the validity of the request or objection, it must refer it to the Appeals Committee in accordance with the provisions

of this law, notifying the concerned party by registered mail with return receipt requested, within thirty days of the referral date. If the taxpayer does not have an entity to which he can

submit the aforementioned applicatio



Article (119)

In cases where the tax authority has assessed the tax, the taxpayer's appeal against the tax assessment and its value shall be submitted in triplicate to the relevant tax office. One copy shall be given to the taxpayer, stamped by the tax office with the date of submission. The tax office shall record the details of the appeal and a summary

of the points of contention in a special register. The tax office shall resolve the points of contention between itself and the taxpayer through an internal committee within sixty days from the date of submission of the appeal. If a settlement of the points of contention is reached, the assessment shall become final. The executive regulations of this law shall regulate

the rules for forming the internal committees, their working procedures, and the documentation of agreements reached before them. If a settlement of the points of contention is not reached, the tax office shall notify the taxpayer accordingly and shall refer the points of contention to the competent appeals committee within thirty days from the date of the decision on these points. The tax office shall notify the taxpayer of the referral by registered mail with return receipt requested. If the thirty-day period expires without the tax authority referring the dispute to the competent appeals committee, the taxpayer may submit the matter in writing to the head of this committee directly or by registered letter with

acknowledgment of receipt. The head of the committee must, within fifteen days from the date

Any of the procedures stipulated in this article may be carried out by any electronic means determined by the Minister.

Article (120)

Appeals committees shall be formed by a decision of the Minister, consisting of a chairperson who is not an employee of the Authority, two members from among the Authority's employees chosen by the Minister, and two experts chosen by the General Federation of Chambers of Commerce in conjunction with the Federation of Egyptian Industries from among accountants registered in the register of accountants and auditors for capital companies in the

general register of practicing the free profession of accounting and auditing. The Minister may appoint reserve members from among the Authority's employees to the committees in cities with only one committee. The original members shall be considered reserve members for



Instead of the original members who fail to attend, the chairman of the original committee, or its most senior member in his absence, assumes the responsibility.

The committee meeting is only valid if its chairman and at least three of its members are

present. The committee's secretariat is staffed by an employee appointed by the relevant

department. Appeals committees are permanent and report directly to the minister, who issues a decision regarding the

Article (121) defines the Appeals Committees, specifying their headquarters, territorial

jurisdiction, and the remuneration of their members. The Appeals Committees are competent to adjudicate all disputes between the taxpayer and the Tax Authority concerning the taxes stipulated in this Law, the Stamp Tax Law issued by Law No. 111 of 1980, and Law No. 147 of 1984 imposing a fee for developing state financial resources.

The Committee

shall notify both the taxpayer and the Tax Authority of the date of the appeal hearing at least ten days in advance by registered mail with return receipt requested. The Committee may request both the Tax Authority and the taxpayer to submit any data and documents it deems necessary. The taxpayer must appear before the Committee in person or through a representative; otherwise, the Committee shall adjudicate the appeal based on the submitted documents. The Committee shall issue its decision within the limits of the Tax Authority's assessment and the taxpayer's requests, and the

tax assessment shall be amended

accordingly. If

the tax has not yet been collected, it shall be collected pursuant to this decision.

Article (122) The sessions of the appeals committees shall be confidential and their decisions shall be issued with reasons by a majority vote of those present. In the event

of a tie, the side on which the president is present shall prevail.

The committee is committed to observing the general principles and procedures of litigation. Both the taxpayer and the tax authority are notified of the committee's decision by registered mail with return receipt requested. The tax is payable based on the assessment determined by the appeals committee. Appealing the committee's decision before the Court of First Instance does not

preclude the

collection of the tax. Article (123) Both the tax authority and the taxpayer may appeal the committee's decision.



The primary court shall convene as a commercial court within thirty days of the date of notification

of the decision. The lawsuit shall be filed with the court within whose jurisdiction the taxpayer's principal place of business, habitual residence, or establishment headquarters is located, in accordance with the provisions of the Civil and Commercial Code.

The judgment issued by this court may be challenged by way of appeal, regardless of the value of the dispute.

Article (124)

The Tax Authority shall correct the final assessment based on the tax office's valuation or the Appeals Committee's decision upon a request submitted by the concerned party within five

years from the date the assessment became final, in the following cases: 1. The concerned party does not engage in any activity on which the tax was assessed. 2.

The tax is assessed on an activity legally exempt from it.

3. The tax is assessed on income not subject to tax. 4. Unless

otherwise stipulated by law. 5. Legally prescribed

exemptions are not applied. 6. An error is made in

applying the tax rate. 7. An error is made in

the type of tax assessed on the taxpayer. 8. Losses are not carried

forward in violation of the law. 9. Taxes that are subject to

deduction are not deductible. 10. The rental

value of properties leased by the establishment is not deductible. 11. Donations

that meet the legal requirements for deduction are not deductible are not

deductible. 12. Some tax years are charged with revenues or expenses pertaining to other

years. 13. The

same tax is assessed on the same income more than once. The Minister

may add other cases by decree. Generally speaking, in

cases where the concerned party obtains

Conclusive documents and papers that would lead to the invalidity of the connection.

The requests referred to are to be considered by one or more committees called the (Final Reconsideration Committee), which shall include among its members a member of the State Council with the rank of Assistant Advisor at least, appointed by the President of the State Council. A decision issued by the Head of the Authority shall be issued regarding its formation, its jurisdiction and



The committee's decision shall not be effective until it is approved by the head of the department.

The taxpayer and the relevant tax authority shall be notified of the committee's decision.

Article (125) Lawsuits filed by or against the taxpayer may be heard by the court in a closed session, and the judgment shall always be expeditious. The Public Prosecution shall be represented in the case, assisted by a representative from the Tax Authority.

Article (126)

The Minister alone shall issue general rules and instructions that the Tax Authority shall adhere to when implementing the provisions of this Law and its Executive Regulations. Article (127) A taxpayer who wishes to complete transactions with significant tax implications may submit a written request to the Head of the Tax Authority stating its position regarding the application of the provisions of this Law to that transaction. The request must be submitted with all required information and accompanied by the following documents: 1- The taxpayer's name and tax registration number. 2- A statement of the transaction and its tax implications. 3- Copies of documents, contracts, and accounts related to the transaction. The Head of the Tax Authority shall issue a decision regarding the request within sixty days of its submission. He may request additional information from the taxpayer during this period. The decision shall be binding on the Tax Authority unless, after its issuance, elements of the transaction that were not presented to it before the decision was issued are discovered. Article (128) The Tax Authority shall appoint representatives from among its employees to ministries, government departments, local administrative units, public legal entities, and public sector and public business sector companies. The Authority's representative shall monitor the proper implementation by the aforementioned entities of the provisions of this Law and other related tax legislation, and verify that these entities pay taxes in accordance with the provisions of these laws. These representatives, and other employees of the Authority designated by a decision of the Minister of Justice upon the request of the Minister of



Article (129)

The burden of proof rests with the Tax Authority in the following cases: -1 Correcting, amending, or disregarding a tax return if it was submitted in accordance with the conditions and procedures stipulated in Articles 83 and 84 of this Law and based on books that are formally organized according to Egyptian accounting standards or simplified accounting principles derived

therefrom, and in compliance with the laws and rules established in this regard. -2

Amending the assessment in accordance with Article 91 of this Law. -3

Disregarding a tax return if it was certified by an accountant

and based on books in accordance with the provisions of Article (78) of this Law. Article (130) The burden of proof rests with the taxpayer in the

following cases: -1 The Tax Authority makes an estimated tax assessment in accordance with Article 90 of this Law. -2 The taxpayer corrects an error in their tax return. -3 The ta

Book Seven

Penalties

Article (131)

Without prejudice to any more severe penalty stipulated in the Penal Code or any other law, the crimes stated in the following articles shall be punished by the penalties stipulated therein.

Article (132)

Any accountant registered in the Accountants and Auditors Register who approves a tax return or supporting documents or papers shall be punished by imprisonment and a fine of no less than ten thousand pounds and no more than one hundred thousand pounds or by one of these two penalties if he

commits one of the following acts: -1 Concealing facts that he learned during the performance of his duties and which were not disclosed by the documents that he certified as true, when the disclosure of these facts is necessary in order for these accounts and documents



-2 Concealing facts that he learned during the performance of his duties related to any amendment or change in books, accounts, records, or documents, if such

amendment or change would give the impression of

- lower profits or higher losses. In case of
recidivism,

he shall be sentenced to both imprisonment and a fine. Article (133) Any taxpayer who evades paying taxes shall be punished by imprisonment for a period of not less than six months and not exceeding five years, and by a fine equal to the amount of tax that was not paid under this law, or

by one

of these two penalties. A taxpayer shall be considered to have evaded paying taxes by using one of the following methods: -1 Submitting the annual tax return based on fabricated books, records, accounts, or documents, knowing them to be so, or including data that contradicts what is recorded in the books, records, accounts, or documents that he concealed. -2 Submitting the annual tax return on the basis that there are no books, records, accounts, or documents, while including data that contradicts what is recorded in the

books, records, accounts, or

documents that he concealed. 3. Intentionally destroying tax-related records or documents before the expiry of the statute of limitations for the tax debt. 4. Fabricating or altering

- purchase or sales invoices or other documents

to mislead the tax authority into believing that profits are low or losses are

high. 5. Concealing any activity or part the

Article (134)

The accomplice in the crime shall be jointly liable with the financier for the obligation to pay the value

Taxes evaded and fines imposed in connection therewith. Article (135)

A fine of not

less than two thousand pounds and not exceeding ten thousand pounds

shall be imposed on anyone who

commits any of the following acts: -1 Failure to

submit a notification of business activity. -2 Failure to submit



3. Failure to apply the system of withholding, deducting, collecting, and remitting taxes within the legal deadlines. The same penalty shall be imposed on anyone who violates the provisions of Article 96, Paragraph 1, and a fine of ten thousand pounds shall be imposed on anyone who violates the provisions of Articles 78, Clause 1, and 83, Paragraph 3.

In all cases, the prescribed fine shall be doubled in the event of a repeat offense within three years. Article (136) If the taxpayer includes a tax amount in the tax return that is less than the final estimated tax amount, the penalty shall be the fine indicated in each of the following cases: 1. 5% of the tax due on the amount not included, if this amount is equivalent to 10% to 20% of the legally due tax. 2. 15% of the tax due on the amount not included, if it is equivalent to more than 20% to 50% of the legally due tax. -3.80% of the tax due on the amount not

included, if it is equivalent to more than 50% of the legally due tax. Article (137) No criminal proceedings may be initiated for the crimes stipulated in

this law, nor may any inve

Article (138)

The Minister or his designee may settle the crimes stipulated in this Article at any stage of the proceedings before a final judgment is issued, in

exchange for the payment of: (a) The amounts due from the offender in the crimes stipulated in Article 135 of this Law, in addition to compensation of two thousand pounds. (b) The amounts due from the offender, in addition to compensation equal to half the amount of the fine stipulated in Article 136 of this Law. (c) The amounts due from the offender in the crimes stipulated in Articles

133 and 134, in addition to compensation equal to such amounts. (d) Compensation on eq



Article 132 of this law.

Reconciliation results in the termination of the criminal case and its consequences, and the Public Prosecution orders the suspension of the execution of the sentence if reconciliation

takes place during its execution.

Book Eight: Final

Provisions,

Article (139): A

Supreme Tax Council shall be established by decree of the President of the Republic, reporting to the President.

The Cabinet, headquartered in Cairo, possesses legal personality. Article

(140) states

that the Cabinet aims to guarantee the rights of all types of taxpayers and ensure that the relevant tax authorities comply with the provisions of the laws and regulations issued in this regard, and that assessment and collection procedures are

conducted in a spirit of cooperation and good faith. It also aims to guide

taxpayers towards the legal provisions.

Article (141)

To achieve its objectives, the Council shall exercise the following powers: 1- Studying and approving the Taxpayers' Rights Document and monitoring compliance therewith. 2- Studying the laws and regulations governing tax affairs of all types and proposing amendments thereto, in cooperation with the government and the relevant administrative bodies. Draft laws and regulations proposed by the government concerning taxes of all types must be submitted to the Council for review and its opinion before being presented to the People's Assembly. 3- Studying the instructions issued by the administrative bodies responsible for tax affairs of all types and intervening with the relevant authorities to repeal instructions that do not comply with the provisions of the laws, regulations, or the Taxpayers'

Rights Document, and ensuring that these instructions are consistent and guarantee the easy and efficient assessment and collection of

taxes. 4- Monitoring the tax authorities' execution.



5. Reviewing and providing feedback on tax procedures manuals before their approval and publication, particularly: - Tax Administration Procedure Manuals. - Basic Rules for Examination Manual. - Examination

Procedures Manual. - Sample Examination Manual. 6. Assessing the technical and financial efficiency of tax administration bodies to ensure the quality of technical and administrative services they provide, and advocating with relevant authorities and

submitting proposals to address any shortcomings in this regard. 7. Publishing information, reports, and

recommendations that help taxpayers understand their rights and obligations. 8.

Reviewing taxpayer complaints submitted to the Council and advocating with relevant authorities to address valid complaints and propose general rules to prevent their recurrence. Competent administrative bodies are obligated to

cooperate with the Council in reviewing complaints referred to them and to provide the Council with any data, reports, and research it requests related to its work. On September 30th of each year, the Council shall submit a report on its activities to the President of the Republic and the Prime Minister, including any deficiencies in tax legislation or instances of abuse of power by any

tax administration body, or any overstepping of its authority by such bodies, as

revealed during the exercise of its powers. This report shall be submitted to

the Speaker of the People's Assembly for presentation to the

Assembly. Article (142) The Council shall be formed by a decision of the Prime

Minister for a three-year term, renewable, as follows: -1 A Chairman from among public figures. -2 Three former heads of the General Tax Authority nominated by the Minister. -3 A judge of at least the rank of Counselor, nominated by the Minister

of Justice. -4 Two accountants registered in the Register of Accountants



5. The Chairman of the Federation of
Egyptian Industries. 6. The Chairman of the
General Federation of Chambers of Commerce. 7. A university professor specializing in
tax affairs, nominated by the
Supreme Council of Universities. 8. A representative of the Central Auditing
Organization, nominated by the organization's head.

The decision

shall specify the remuneration of the Chairman and members of the Council. Article
(143) The Council shall convene at the invitation of its Chairman at least once every two
months, and whenever the Chairman deems it necessary. A meeting shall only be valid
if at least six of its members are present.

Decisions shall be made by a majority vote of those present, and in the event of a
tie, the Chairman's vote shall prevail. The Council may invite representatives of the tax
departments concerned with the topics under discussion, as well as any financial,

economic, or legal experts it deems

Article (144)

The Council's resources consist of
the following: -1 Sufficient financial appropriations allocated to it in the State's
general budget. -2 Gifts, donations, subsidies, and grants accepted by the Council that
do not conflict with its
objectives. -3 Returns on its investments.

Article (145) The

Council shall have its own budget, and its fiscal year shall begin on the first of July and end
on the last day of June of each year. Article (146) The
Council shall
establish its own financial, administrative, and technical regulations.

The Council shall have an Executive Director appointed by a Council resolution for a term of three
years, and the Council shall determine the Director's responsibilities and financial compensation.

The Council shall also have a Technical Secretariat, whose organization, functional and
organizational structure, and responsibilities shall

Article (147)

All sums and financial values for which the right has lapsed shall revert to the public treasury



Its owners possess it by prescription through a final judgment, and it falls under the categories specified.
after:

1. Profits and returns generated from shares and tradable bonds issued by any company,
body, or public or private entity. 2. Shares, founders' shares, bonds,
and all other securities belonging to the aforementioned companies, bodies, or entities. 3.
Securities deposits, and generally, all amounts of such securities
held by banks and other institutions that receive such securities as a deposit or for any other
reason. 4. Any amount paid as security for any reason whatsoever to any joint-stock company,
body, or public or private entity.

Companies, banks, establishments, bodies and other entities stipulated in this article
are obligated to provide the Authority, no later than the end of March of each year, with a
statement of all funds and assets that have become time-barred during the previous year and
whose ownership has been transferred to the government in accordance with this article, and
they must deposit the aforementioned amounts and assets into the public treasury within

thirty days following the submission of t

Article (148)

The Minister, after presenting it to the Council of Ministers, shall establish one or more
systems to reward employees of the department in light of their performance rates and the
size and level of their achievement in work, without being bound by any other system. The
state's general budget may include the allocation of amounts that the state contributes to the
social and health care fund for employees of the department and their families, and those who

have been or will be referred t

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